



Message from the Chairman and Managing Director



Demonstrating Resilience, Emerging Stronger

Dear Stakeholders,

It gives me immense pleasure to share the performance and progress of FY 23-24. The global pharmaceutical industry continues to evolve rapidly, driven by technological advancements, increasing demand for high-quality healthcare, and a growing focus on sustainability. In this dynamic environment, we are embracing this change to shape a future that positions us as a leader in the target market through strategic innovations, pioneering sustainability initiatives and continued pursuit of manufacturing excellence.

Resilience Amidst Challenges

In the year under review, our revenue remained flat at ₹ 45,064 million, compared to ₹ 45,119 million in FY 22-23, impacted primarily by a cyber incident and a decline in Paracetamol API sales. The ransomware attack in May delayed product releases and affected performance in Q1 and Q2. The decrease in paracetamol API sales is attributable to higher customer inventory and price erosion. Despite these challenges, our strategic focus on formulation growth, including

GPI-manufactured products, enabled us to sustain a similar turnover YoY.

EBITDA for FY 23-24 was ₹ 8,560 million, with a margin of 19.0%, compared to ₹ 9,138 million and 20.3% margin in FY 22-23. Cash flow from operations for FY 23-24 was ₹ 4,394 million, compared to ₹ 7,387 million in FY 22-23, impacted by reduced EBITDA and extended inventory days due to new product launches and logistical challenges. Our R&D spend for the year amounted to ₹ 1,986 million, (4.4% of Revenue), compared to last

year spend of ₹ 1,164 million (2.6 % of Revenue), highlighting our commitment to future growth through innovation.

Our net debt increased marginally by ₹ 750 million to ₹ 8,421 million from ₹ 7,671 million at the beginning of the year. We invested ₹ 3,788 million in capital expenditures during the year, focusing primarily on enhancing capabilities in Granules Life Sciences and Granules CZRO.

Breakout Year for Formulation Business Segment and Product Diversification

We have progressively moved up the value chain and are now a vertically integrated player with a robust product portfolio. Our finished dosages (FD) segment had a breakout year, contributing 64% to our revenue in FY 23-24, a significant increase from 50% in FY 22-23. This shift highlights our strategic emphasis on high-value formulations, which partially offset the decline in API sales. Moreover, our investments in diversifying our portfolio beyond our legacy products have started to show results, and their contribution now stands at 25% of our revenue.

Unlocking Potential with Focused Approach

Our US business has grown by a 25% CAGR over the past decade, leveraging our unique manufacturing platforms in India and America. We have achieved market leadership in CNS/ADHD products manufactured at our US site, with seven products ranked #1, contributing 70% of GPI's revenues. Our OTC products have also secured leadership positions, demonstrating our robust market presence.

We completed multiple successful inspections and audits by the FDA, ANVISA, Health Canada, and PMDA Japan, ensuring compliance with the highest regulatory standards. We

have significantly enhanced our R&D capabilities, with a dedicated team of 300 members working across various laboratories. Our focus on controlled substances, complex products, and innovative technologies has yielded a robust product pipeline in oncology, anti-diabetic segments, large volume molecules and other non-OSD dosage formulations.

During the year, we received several Abbreviated New Drug Application (ANDA) approvals from the USFDA and certifications from EU/RoW, bolstering our regulatory standing and expanding our portfolio. We are expanding our formulation capabilities to meet growing demand with a new facility at Genome Valley that commenced operations in March 2024. When fully completed, this plant will add 8 bn dosages to our capacity, while our packaging facility in Virginia holds us in good stead for emerging opportunities. Additionally, we are enhancing our enzyme manufacturing capabilities for biocatalysis and continuous manufacturing platforms.

Our Commitment to Sustainability

Granules is dedicated to healing life responsibly by pioneering green science. We have committed to achieving net zero emissions by 2050, aligning with SBTi's 1.5°C pathway, and have submitted our Net zero targets to SBTi for validation. Our comprehensive Scope 3 emissions assessment and Net Zero roadmap are in place, and we have initiated actions focusing on efficiency measures, biofuels, renewable energy, and supplier sustainability programs. Our green pharma initiative, CZRO, emphasizes complete supply chain decarbonization through integrated green energy and green molecule platforms, ensuring sustainable backward integration of Paracetamol and Metformin.

“The pharmaceutical industry has a dual responsibility: to heal lives and to heal the planet. Through innovative strategies and sustainable practices, we can drive our industry towards decarbonization and contribute significantly to a carbon-neutral future.”

Dr. Krishna Prasad Chigurupati at COP 28

Strengthening Leadership

We have strengthened our Board by inducting of Mr. Kapil Kumar Mehan, Mr. Sethurathnam Ravi, and Mr. Rajiv Pritidas Kakodkar as Independent Directors, bringing their rich experiences to our strategic decision-making processes.

Over the past two years, we have enhanced our leadership across R&D, core operations, and other functions. We have appointed Ms. Priyanka Chigurupati as Executive Director, responsible for global marketing and new product launches. We have also instituted robust cybersecurity measures after the cyber attack to safeguard our operations.

To conclude, I sincerely thank our employees, investors, customers, suppliers, and stakeholders for their unwavering support and trust. Together, we will continue to embrace change and shape a promising tomorrow.

With best wishes to you and your families,

DR. KRISHNA PRASAD CHIGURUPATI
Chairman and Managing Director